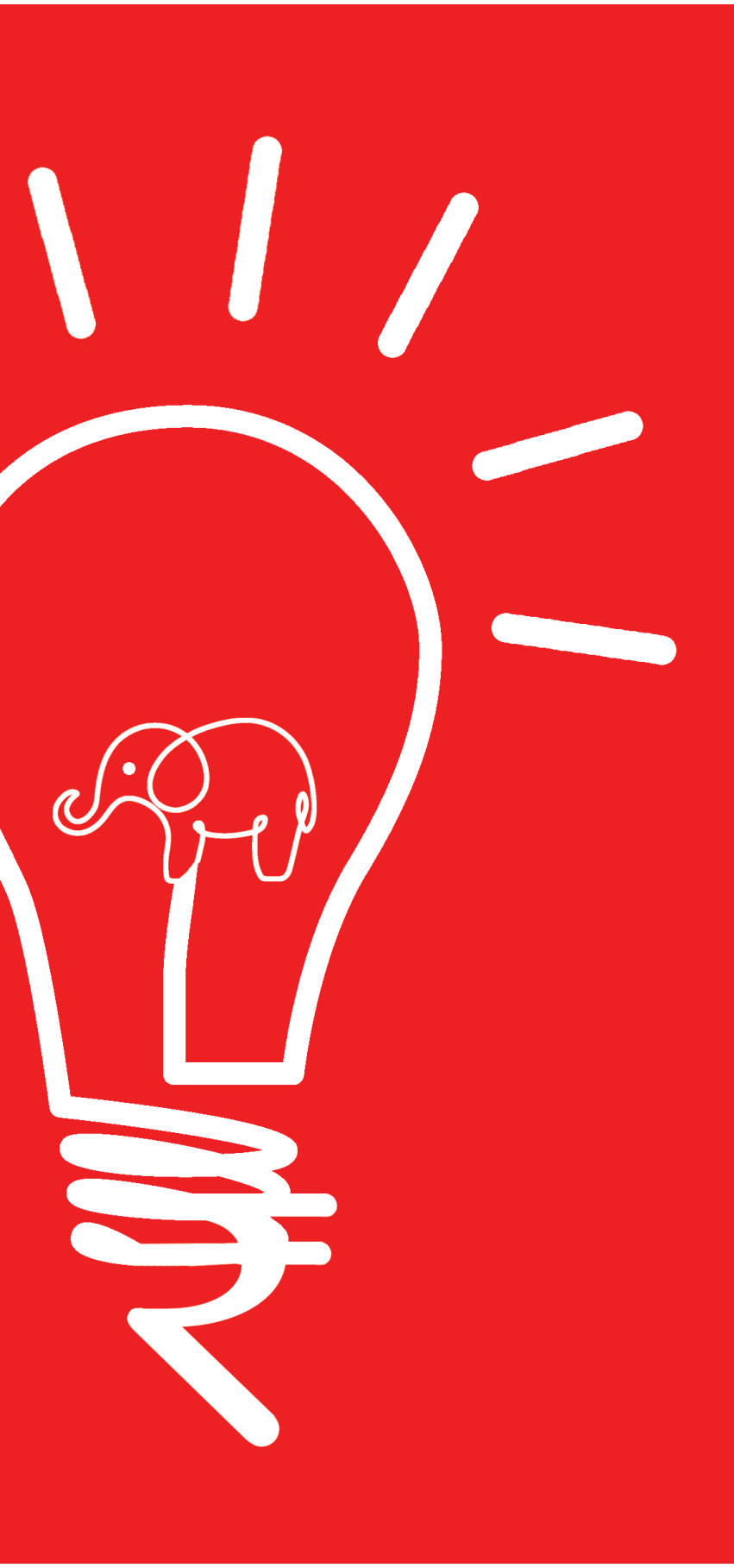


In industrial employment, losses are in construction materials and autos. Auto production is now picking up as component shortages ease. Construction activity is likely to rebound too, as state governments, which struggled to spend through lockdowns and as a result currently have nearly Rs 3 lakh crore of unspent cash, spend again. Strong tax receipts are also creating fiscal space for the central government.

Further, after nearly a decade-long lull, which shaved more than one per cent per year from GDP growth, real-estate construction appears ready to accelerate. The inventory of ready-built houses is being absorbed by the recovery in sales volumes, as affordability has improved with record-low mortgage rates and incomes rising faster than stagnant house prices. Wage hikes due to the global rise in demand for software is helping housing markets in software development hubs. Excess savings due to lockdowns and wealth creation in financial markets are also supportive of real-estate investment.

Lastly, the informal sector, which has suffered the worst of the economic scarring and may have lost some ground permanently, should see some revival as normalcy resumes. An environment of shortages favours large and formal firms; this should change going forward, not least as the well-capitalised Indian financial sector starts to take some risks again.

Weakening global demand growth could be a headwind for export-driven sectors. However, to maintain India's growth momentum, policymakers should continue to focus on increasing India's share of global trade, both in services (where a great opportunity beckons, not just in software), and in merchandise (electronics, apparel and footwear, toys, automotive components, renewable energy equipment and chemicals, to name a few). Strong growth is necessary for at least a decade if not more, not only to bring the sovereign debt ratio down to safer levels, but also to pull people out of poverty. ■

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